ESG Risk Report

UK Equity High Income (UK)
31/03/2024

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Our Commitment

Reporting Goals

Zurich Invest is committed to prioritizing environmental sustainability and mitigating environmental risks through its dedicated efforts. This reporting creates a communication channel with stakeholders for updating on the portfolio's key risks, our efforts in limiting these, and the status of transformational change. It offers a comprehensive analysis of the portfolio, providing detailed insights into high-level ESG ratings, controversies, and business involvement risks.

By evaluating the success of our measures, we intend to raise awareness of what has already been done, and the effort necessary to achieve the overarching goal of a better future.

Throughout this report, the portfolio's ESG credentials will be demonstrated and its rating analyses transparently shown and compared against a more vanilla benchmark. Details on the benchmark and its composition are provided on the following page.

We are a responsible investor

Guided by our key objectives, as well as our core beliefs ("our three ESG principles"), we aim at incorporating an ESG perspective into every step of our investment process. The Zurich Invest ESG strategy consistently integrates a climate action focus, which is being successfully executed with the invaluable support of a robust framework.

We believe that by facilitating dialogue between portfolio companies and stakeholders, making targeted investments for positive societal impact, and rigorously measuring progress towards decarbonization, we can create lasting, sustainable value. By having a positive impact on our surrounding world, we ultimately aim at helping people improve their lives.

Our current focus of responsible investing thus involves managing ESG risks to help enable our clients brace themselves for imminent risks and, at a later step, to capture opportunities by offering a holistic platform of investment solutions and data analytics.

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The transition to a low carbon economy demands a transformation of the entire economy. All companies will be profoundly affected by this change. While this transition will inevitably be complex and difficult, it is essential to building a more resilient economy that benefits more people.

Our Three ESG Principles:

1. ESG Integration

Integrating ESG factors

- Training
- Information
- Process Integration
- Active Ownership

2. Impact Investing

Making an impact by offering Dedicated solutions

- Intentionality
- Measurability
- Profitability

3. Advancing Together

Collaborating to advance responsibly in investment

- Innovation
- Collaboration
- Public Advocacy

These principles provide a moral and ethical compass for Zurich Invest, so actions and decisions might have a greater positive impact on the environment and society.

MSCI ESG Ratings Methodology

For the purpose of evaluating this report in terms of ESG (and to compare it with the benchmark), the MSCI ESG Ratings Methodology is used throughout this entire report. Ratings take into consideration the portfolio companies' exposure to material ESG risks, and the quality of management to mitigate potential risks. To gain a more thorough understanding of the contents of this report, you will find below a concise overview that outlines the calculation of ratings and the identification of associated risks.

Chapter I - ESG Ratings/Scores

MSCI ESG Ratings evaluate companies individually based on key environmental and social risks, as well as governance ratings. Key issue weights are determined through a combination of approaches, assigning 33% to the G pillar and distributing the remaining weight between E and S based on materiality. Overall E, S, and G pillar scores are then calculated via the weighted averages of underlying issue scores. After calculating the weighted average of pillar scores once more, an overall company score (0-10) is derived, which must be interpreted in relation to industry peers. Normalizing this score relative to the ESG Rating industry peer group, calculates the industry- adjusted score. The MSCI ESG letter matrix maps the industry-adjusted score to a letter rating, ranging from AAA to CCC. Portfolio ratings are derived by calculating the weighted average of individual company ratings based on portfolio holdings, enabling comparisons and insights into overall sustainability profiles. Weightings of this rating step are based on the proportion of each company's holdings within the portfolio.

Chapter II - ESG Controversies

MSCI calculates ESG controversies by evaluating and assessing the involvement of companies in controversial activities or incidents that have potential negative environmental, social, or governance impacts. MSCI assigns a rating or score to each company based on the level of controversy and the impact it may have on the company's overall ESG profile.

The percentage of portfolio coverage refers to the proportion (number) of companies within a portfolio that are assessed for their involvement in ESG controversies. It may vary depending on factors such as data availability, reporting transparency, and the specific methodology used.

Chapter III – Business Involvement Exposure

Refers to the extent to which a company is involved in activities or practices that have potential negative impacts on the environment, society, or governance. MSCI evaluates the business involvement exposure of companies by analyzing their operations and business practices and assessing the level of potential risk associated with their involvement in controversial activities. Based on this analysis, MSCI assigns a rating or score to each company

MSCI ESG scores are on a 0-10 scale, where 0 is very poor and 10 is very good.

A preset score-to-letter-rating matrix is utilized to convert the numerical score into a corresponding letter rating, ranging from AAA (highest) to CCC (lowest).

~MSCIEsgRating~ **AA**

What is our benchmark, and how is it calculated?

For our ESG analyses[1], we use a benchmark which is comprised of similar proportions to the portfolio to best reflect the asset allocation and sector exposure of the fund. This approach provides a basis for evaluating the portfolio's performance relative to a benchmark that closely resembles its investment strategy and composition.

Benchmark Description

This report analyses specific exposures of the (Client Name) portfolio with a focus on long-term, environmental risk factor.

For relatively evaluating all focal areas of this report, which are ESG ratings, controversies, and business involvement risks, we are comparing this portfolio to a widely recognized global equity index that includes a broad range of companies from developed and emerging markets. It provides investors with a comprehensive view of the global stock market by covering a large number of countries and sectors.

The index is often used as a benchmark to assess the performance of global equity portfolios and to track the overall performance of global stock markets. The index covers a large majority of the global investable equity universe.

The portfolio comparison at a glance.

When compared to its benchmark, the portfolio shows:

7.79

Better overall ESG rating

92.79%

Better overall exposure to controversies

PRI rating achieved for our overall approach to responsible investing

[1] All ESG metrics are based on MSCI data unless otherwise tated. Calculations are based on the underlying companies into which the portfolio invests. Further detail in respect of the methodology can be found on the next page and at msci.com.

CONTENT

I. ESG Ratings/Scores

I. ESG Ratings/ Scores

Top Level

These high-level analyses give an overview of how your portfolio compares to its benchmark (see p. 3 for more information) on a broad range of environmental, social, and governance data points. For a fuller breakdown of these individual points, please refer to the sections that follow.

XX% better overall ESG rating

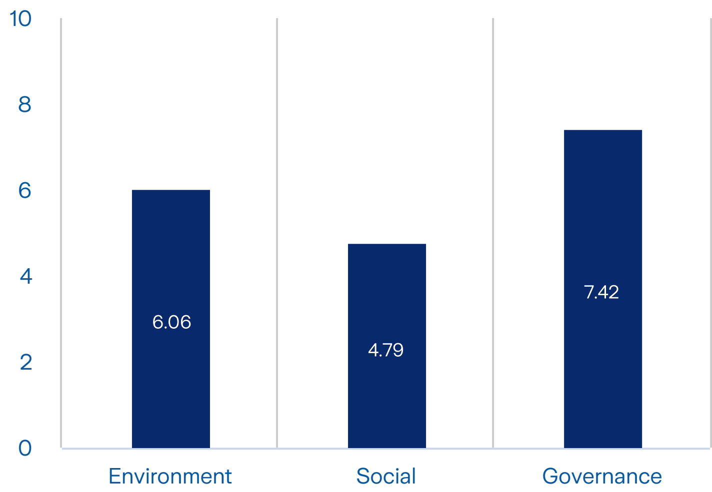
ESG Rating

This shows the average weighted value of all ESG criteria, to give an overall rating from AAA (best) to CCC (worst):

Fund Name to check
Benchmark to check

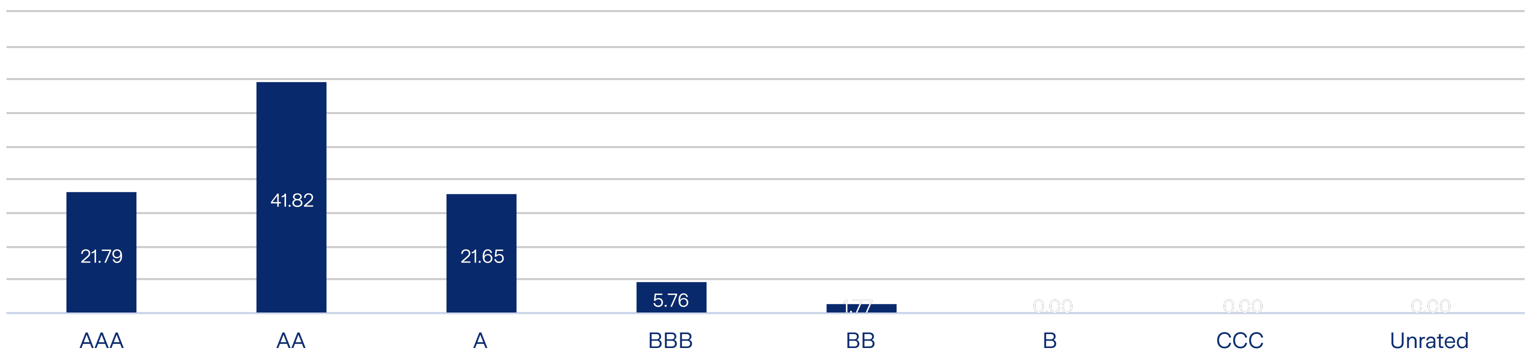
ESG Pillar Rating

Scores (0.0 – 10.0) are calculated using MSCI ESG ratings. ESG ratings measure and analyse the underlying companies' material risk and opportunities arising from environmental,social,and governance issues.



ESG Rating Distribution

The distribution of ESG ratings for all underlying companies based on the AUM from AAA (best) to CCC (worst) (%).



Fund name to check
Fund Benchmark Name to check

I. ESG Ratings/ Scores

Pillars & Themes - Corporate Positions

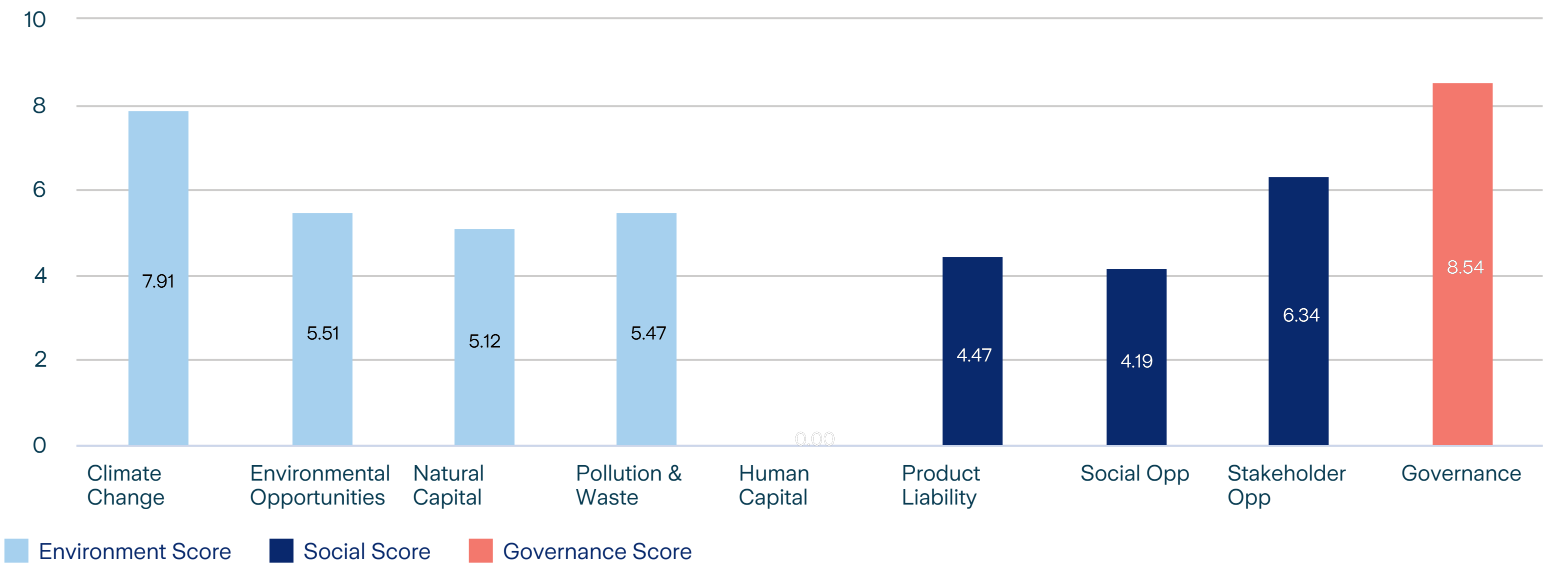
The ESG themes score is derived from individual ESG pillar ratings, which assess a company's performance in ESG dimensions. Each pillar rating represents the company's performance within that specific area. The ESG themes score combines these individual pillar ratings to provide an aggregated view of the company's performance across various ESG themes.

Lower theme scores indicate more severe risk

Theme Scores and Weights	Score	Weight [1]
Environment	**6.06**	**0.25%**
Climate Change	7.91	7.20%
Environmental Opportunities	5.51	3.61%
Natural Capital	5.12	8.56%
Pollution & Waste	5.47	5.62%
Social	**4.79**	**0.38%**
Human Capital		
Product Liability	4.47	14.31%
Social Opportunities	4.19	1.97%
Stakeholder Opposition	6.34	2.76%
Governance	**7.42**	**0.37%**

ESG Rating

Theme scores across the E and S pillars are calculated based on the weighted average of key issue scores underlying each theme. In the G pillar, for both the Corporate Governance and Corporate Behavior themes a theme score is calculated.



1 Weights on this page are normalized to reflect the sub-portfolio of corporate positions only. Weights are determined through a multi-step process that includes both quantitative and qualitative analyses, and assigned to theme ratings based on the significance of each theme in relation to the overall ESG analysis.

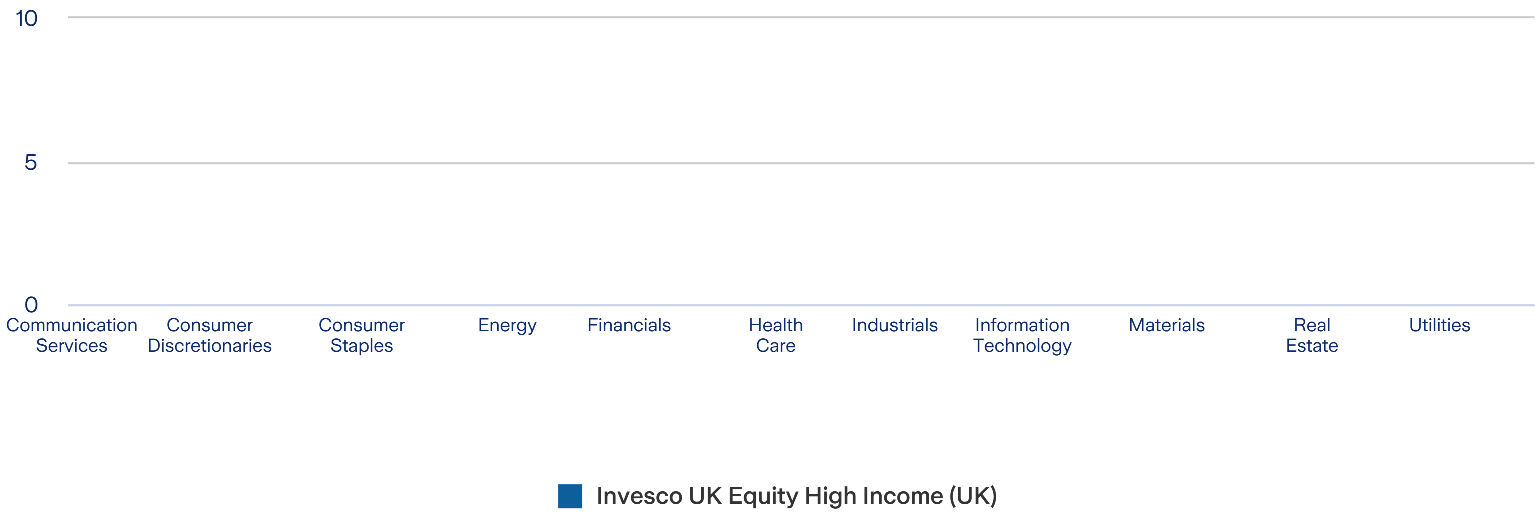
I. ESG Ratings/ Scores

Sector Breakdown

GICS Sector ESG Score

The MSCI ESG GICS sector score refers to the assessment of ESG performance within specific sectors defined by the Global Industry Classification Standard (GICS). MSCI evaluates the ESG practices and risks of companies within each GICS sector.

The MSCI ESG GICS sector score provides an aggregate measure of the ESG performance within each sector. It allows investors and stakeholders to compare the ESG performance of companies within the same sector and identify sector-specific trends and risks.



GICS - Sectors

GICS sectors are most commonly used as industry standard sectors due to their comprehensive and widely recognized classification system. GICS was jointly developed by MSCI and S&P Dow Jones Indices and is widely adopted by the financial industry. The use of GICS sectors as an industry standard enhances transparency, facilitates industry analysis, and promotes consistency in evaluating companies within specific sectors.

I. ESG Ratings/ Scores

Ratings Distribution Within GICS Sectors

The MSCI ESG ratings use a scale of AAA to CCC to assess the environmental, social, and governance (ESG) performance of companies.

AAA is the highest rating on the scale. It indicates that a company demonstrates excellent ESG performance.

CCC is the lowest ESG performance on the scale. They generally have inadequate practices in place and may face severe risks and challenges in managing E, S and G issues.

ESG Rating Distribution within Sectors (GICS)

Corporate Sectors	AAA	AA	A	BBB	BB	B	CCC
Communication Services							
Consumer Discretionaries		702.42%	402.97%				
Energy		908.57%	412.41%				
Financials	239.91%	1301.14%		120.43%			
Health Care		147.32%					
Industrials	841.35%	318.13%	328.39%				
Information technologies							
Materials	340.90%	187.73%		355.93%			
Real Estate							
Utilities	756.67%		582.21%				

I. ESG Ratings/ Scores

Holdings Breakdown

Best holdings serve as exemplars within their respective industries, showcasing the potential for sustainable business practices to drive long-term value creation.

“Best and worst” refers to the company’s rating, indicating the highest and lowest assessments of ESG performance.

“Largest” refers to positions that have the greatest weight or significance within the portfolio based on the company’s size or market capitalization.

Largest [2] 5 Holdings in the Portfolio

Issuer	Weight	Sector	ESG Rating
WHITBREAD PLC	1.97%		AA
UNITED UTILITIES GROUP PLC	1.28%		A
TotalEnergies SE	5.50%		AA
THE PRS REIT PLC	1.77%		BB
TESCO PLC	3.16%		AA

Best [1] 5 Holdings in the Portfolio

Issuer	Weight	Sector	ESG Rating
WHITBREAD PLC	1.97%		B
UNITED UTILITIES GROUP PLC	1.28%		B+
TotalEnergies SE	5.50%		D+
THE PRS REIT PLC	1.77%		Not Rated
TESCO PLC	3.16%		C+

Worst [1] 5 Holdings in the Portfolio

Issuer	Weight	Sector	ESG Rating
Allied Minds PLC			
ANGLO AMERICAN PLC	0.75%		C-
ASHTEAD GROUP PUBLIC LIMITED COMPANY	1.12%		C+
BABCOCK INTERNATIONAL GROUP PLC	1.57%		C-
BARCLAYS PLC	4.10%		C-

II. ESG Controversies

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II. ESC Controversies

Exposure

An ESG controversy case is defined as either an event or an ongoing situation in which company operations and/or products allegedly have a negative environmental, social and/or governance impact. MSCI ESG Controversies assessments measure companies' reputational/ brand risk based on actual or alleged involvement in adverse impact activities as reported by the media, non-governmental organizations (NGOs), civil society groups, academia, regulators and other stakeholders.

The portfolio's exposure to ESG controversies underscores the importance of ongoing engagement with portfolio companies.

The MSCI ESG Controversies methodology is applicable to corporate issuers only

Portfolio Exposure to Controversies

This score rates the underlying companies on a scale from 0.0 (worst) - 10.0 (best) in terms of notable controversies and the severity of the social or environmental impact of those controversies.

ESG Controversies Coverage		
	Portfolio Weight	Benchmark Weight
Percentage of portfolio covered	92.79%	

Controversy Distribution

The charts below show the percentage of the underlying companies with ESG controversies within the [Client Name] (left) and the benchmark (right).

Green MSCI Flag
Indicates that a company is not involved in any major controversies

Yellow MSCI Flag
Indicates that a company is involved in controversies.

Orange MSCI Flag
Indicates that a company has been involved in severe controversies

Red MSCI Flag
Indicates that a company is involved in severe controversies

II. ESG Controversies

Company Breakdown

Portfolio Positions with the Most Controversy Exposure			
Name	**Portfolio Weight**	**Sector ID (GICS)**	**Overall**
Whitbread	1.97		0.00
United Utilities	1.28		0.03
Total SA	5.50		0.51
	1.77		
Tesco	3.16		0.45
SSE (Scottish and Southern Energy)	4.15		0.01
Smith & Nephew	1.47		0.04
Royal Dutch Shell B	3.59		1.30

7 to 10 = Good 4 to 6 = Mediocre 1 to 3 = Bad 0 = Not Rated

II. ESG Controversies

UNGC Compliance - Based on the MSCI ESG Research Methodology

UNGC Exposure

The UN Global Compact is the world's largest corporate sustainability initiative, encouraging businesses and firms to adopt sustainable and socially responsible policies, and to report on their mplementation. Their principle-based framework states ten principles in the areas of human rights, labor, the environment and anti-corruption.

Fund Name to check

International Norms

3.56%

Global Compact Compliance Violation

92.79%

Controversy Coverage

Fund Benchmarck Name to check

International Norms

3.56%

Global Compact Compliance Violation

Controversy Coverage

UN Global Compact compliance violations should be incorporated in the ESG Integration activities.

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III. Business Activity

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III. Business Activity

Overview

Business Involvement Exposure [1]

To help asset owners and managers ensure that their investment decisions comply with client mandates, MSCI ESG Research provides research on companies involved in specific business activities.

MSCI ESG Research provides a profile of each company's specific business involvement. The company profile includes details on the company's ties to the activity, any related corporate actions in the last three fiscal years, and ownership information if the company has ties to the business activity through a subsidiary or parent company.

Analysts also provide the reported, if disclosed, or an estimated percent of total revenue derived from the business activity in question for screens where information available is regularly sufficient and reliable to produce quality information.

[1] The MSCI ESG Business Involvement Screening Research methodology is applicable to corporate issuers only

[2] "Largest" refers to positions that have the greatest weight or significance within the portfolio based on the company's size or market capitalization.

IV. Glossary

Active ownership
The practice of actively engaging with companies as a shareholder to influence their behavior and drive positive change in areas such as corporate governance, sustainability, and social responsibility. This may involve, for example, proxy voting, engagement.

Business involvement exposure
The level of a company's involvement or exposure to controversial or high-risk activities, such as weapons manufacturing, tobacco production, or human rights violations.

Carbon intensity
Amount of carbon dioxide (CO_2) emissions produced per unit of economic activity or output. It measures the greenhouse gas emissions intensity of a company, sector, or investment portfolio

Climate change
Change in climate patterns and extreme weather conditions attributed to the emission of carbon dioxide into the atmosphere, mainly from the use of fossil fuels.

Controversies
In the context of ESG, a controversy is a breach of ESG standards established by international bodies such as UN Global Compact on the key pillars of Environment; Human Rights & Community; Labor Rights & Supply Chain; Customers and Governance.

Engagement
The process of communicating with representatives of a company as a shareholder with the aim of improving their behavior and policies. Engagement can be with representatives of the company's board or managers. Engagement may include defined ESG topics or targets to discuss. Also known as Stewardship.

Environmental factors
The E in ESG includes assessing factors that have an impact on the environment, such as addressing climate change impact and solutions, energy efficiency, waste management, pollution, and the broader impacts that a company and its products have upon the planet.

Environmental risks
Potential threats and negative impacts on the environment that can result from business activities, including pollution, deforestation, climate change, and resource depletion.

ESG integration
The process of including ESG factors in the fundamental financial analysis of companies and investments.

ESG fund ratings
Within the context of this report, the MSCI ESG fund rating is designed to measure the ESG risks and opportunities of a fund's underlying holdings, making it possible to rank or screen mutual funds and ETFs on a AAA to CCC ratings scale. This rating aims to provide fund level transparency and measures the ESG characteristics of the total portfolio. It is calculated as a direct mapping of MSCI ESG quality scores to letter rating categories. ESG leaders are companies with an ESG rating of AAA or AA (best in class), and ESG laggards are companies with an ESG rating of B or CCC.

ESG principles
Environmental, Social, and Governance principles are a set of criteria used to evaluate a company's performance in terms of its impact on the environment, society, and its governance practices.

ESG risks
Risks that arise from environmental, social, and governance factors, which can have a material impact on a company's financial performance and reputation.

ESG score
A quantitative or qualitative measure that assesses a company's performance in environmental, social, and governance areas, often used by investors and rating agencies to evaluate sustainability and responsible business practices. In the focal report, ESG scores are on a 0-10 scale, where 0 is very poor and 10 is very good.

Exclusionary focus or screening
Also known as negative screening. The process of excluding companies engaged in specific activities that are considered to be damaging, such as alcohol, tobacco, gambling, pornography and child labor.

Fossil fuels
Naturally produced energy sources, such as coal, oil and gas. It is scientifically proven that gases released from burning fossil fuels (such as carbon dioxide) are a leading cause of climate change.

GICS sectors
Global Industry Classification Standard sectors, a widely used classification system that categorizes companies into various sectors based on their primary business activities.

Governance
The G in ESG. Also known as corporate governance. Refers to the rights and responsibilities of stakeholders and how a company is run. Includes issues such as executive pay, corruption and board diversity.

Green Bonds
Bonds issued to fund environmentally friendly projects. These projects can include renewable energy infrastructure, energy efficiency improvements, and sustainable agriculture practices, among others. Proceeds from green bond offerings are specifically earmarked for these projects and are subject to independent verification to ensure that they meet certain environmental criteria.

Impact investing
Investments made with the intention of generating positive, measurable social and environmental impacts, where impact has priority over financial performance.

Letter rating
A rating system often used to assess the overall sustainability or ESG performance of a company, usually represented by letters (e.g., A, B, C) to indicate different levels of performance. In the focal report, a preset score-to-letter-rating matrix is utilized to convert the numerical score into a corresponding letter rating, ranging from AAA (highest) to CCC (lowest).

Negative screening
Also known as exclusionary focus or screening. The process of excluding companies engaged in specific activities that are considered to be damaging, such as alcohol, tobacco, gambling, adult entertainment and child labor.

Pillar rating
A rating system that evaluates a company's performance in specific ESG pillars, such as environmental, social, and governance factors, providing a more detailed assessment of its sustainability practices.

Theme score
A score that evaluates a company's performance in specific sustainability or ESG themes, such as climate change, human rights, or diversity and inclusion.

Transformational change
A significant and fundamental shift in an organization's strategy, operations, or culture to align with sustainability and ESG principles, often aiming for long-term positive impact and systemic change.

UNGC
The United Nations Global Compact is a voluntary initiative that encourages businesses to adopt and implement sustainable and socially responsible policies and practices, based on ten principles related to human rights, labor, environment, and anti-corruption.

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